

## THE DUTIES OF TRUSTEES OF CHATTELS PERSONAL.

WE next advance to the *duties* of trustees, and as trusts of chattels personal are of the most frequent occurrence, we shall first advert to trustees of property of this description. We may consider this branch of our subject under six heads:—1. The reduction of the chattel into the possession of the trustee. 2. The safe custody of it. 3. The rules of the Court as to conversion. 4. The proper investment of the trust fund. 5. The liability of trustees to payment of interest in cases of improper detainer; and, 6. The distribution of the trust fund.

## SECTION I.

## OF REDUCTION INTO POSSESSION.

1. **Of reduction into possession.**—The first duty of trustees is to place the trust property in a state of security. Thus if the trust fund be an equitable interest of which the legal estate cannot at present be transferred to them, it is their duty to lose no time in giving notice of their own interest to the persons in whom the legal estate is vested; for otherwise he who created the trust might incumber the interest he has settled in favour of a purchaser without notice, who by first giving notice to the legal holder might gain a priority (*a*).<sup>1</sup>

(*a*) See *Jacob v. Lucas*, 1 Beav. 436.

<sup>1</sup> *Trustee taking possession.*—The trustee upon his appointment, acceptance and qualification should proceed to take possession of the trust property. If there are notes, bonds, and other choses in action, the parties in any way interested in them should be notified; *Judson v. Corcoran*, 17 How. 614; *Foster v. Mix*, 20 Conn. 395; *Barney v. Douglass*, 19 Vt. 98; *Stewart v. Kirkland*, 19 Ala. 162; *Murdoch v. Finney*, 21 Mo. 138; *Ward v. Morrison*, 25 Vt. 593; *Bank v. Balliet*, 8 Watts & S. 311; *Fisher v. Knox*, 13 Pa. St. 622; but in some states an assignment of a chose in action is complete when the transfer is made, and before notice; *Conway v. Cutting*, 51 N. H. 408; *Garland v.*